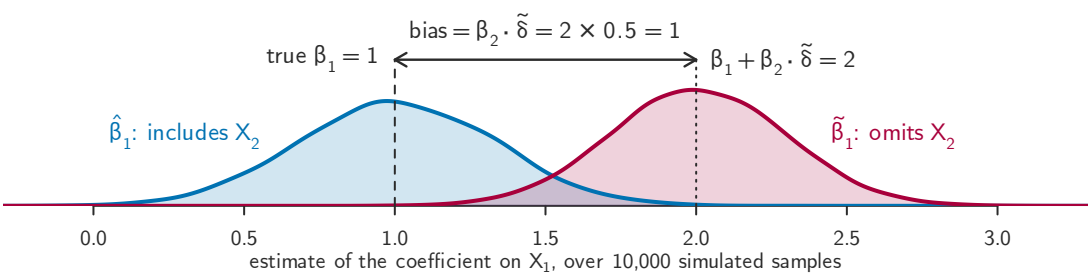
bias = $\beta_2 \cdot \tilde{\delta} = 2 \times 0.5 = 1$
true $\beta_1 = 1$
$\beta_1 + \beta_2 \cdot \tilde{\delta} = 2$
$\hat{\beta}_1$: includes X_2
$\tilde{\beta}_1$: omits X_2
0.0
0.5
1.0
1.5
2.0
2.5
3.0
estimate of the coefficient on X_1, over 10,000 simulated samples